

2 Foreign Investment

Economic and Legal Foundations

Introduction

This chapter examines two foundational questions relating to foreign investment: why firms engage in foreign investment, and how inward foreign investment affects host states.¹ We then examine the scope of the investment treaty regime's coverage of different types of 'investors' and 'investments'. The chapter makes a simple yet often overlooked point: while investment treaties cover practically all forms of investment and all types of foreign investors, the economic drivers and effects of different types of investments vary significantly. This is important to keep in mind for later chapters addressing the law, economics, and politics of investment treaties.

It is commonplace to distinguish between foreign direct investment (FDI) and foreign portfolio investment. The distinction is based on control. If an investor controls a foreign enterprise, the investment is considered a direct investment; if the investor does not control a foreign enterprise, it is a portfolio investment. Standard statistical definitions of FDI require an investor to hold a minimum of 10 per cent of the voting power in a foreign enterprise, which is assumed to confer control (OECD 2008).² Examples of foreign portfolio investment include loans to foreign enterprises, financial products such as derivatives and futures, and minority shareholdings in foreign enterprises that do not confer a degree of control. This chapter focuses primarily on FDI. However, because investment treaties also cover many types of portfolio investment, we briefly discuss the economic effects of portfolio investment as well.

¹ We do not discuss the economic impact of outward foreign investment on home states. For recent contributions, see, for example, Desai, Foley, and Hines (2005; on US FDI), Arndt, Buch, and Schnitzer (2010; on German FDI), and Lee (2010; on Japanese FDI). Chapter 7 considers the politics of investment treaties in developed countries, and touches upon the political implications of the distributive effects of outward investment.

² Conceptualizing and measuring FDI poses challenges, to which we return in Chapter 6 when discussing FDI's impact of investment treaties.

Why do firms engage in foreign direct investment?

To understand the relevance of investment treaties for firms' investment decisions, a subject covered in Chapters 5 and 6, we need to understand why firms invest abroad in the first place. This, in turn, requires us to draw upon insights from the disciplines of both economics and international business. Prior to the 1960s, theories of foreign investment were typically extensions of economic models of international trade. It is therefore useful to begin with one of the most influential models of international trade: the Heckscher–Ohlin (H–O) model. Economic theories of international investment have progressed a long way from the H–O model, yet it nevertheless provides a useful starting point in assessing the drivers and patterns of foreign investment.

The simplest form of the H–O model involves two countries using two factors of production, capital and labour, to produce two types of goods.³ Factors of production are assumed to be immobile, so the only possible economic exchange between the two countries is through trade. The model predicts that the capital-abundant country will export the good that is relatively capital-intensive to produce and import the good that is relatively labour-intensive. This trade in goods creates net economic benefits for both countries, but there are distributive effects *within* countries due to changing returns to capital and labour: owners of capital in the capital-abundant country and workers in the capital-scarce country become better off from trade, whereas owners of capital in the capital-scarce country and workers in the capital-abundant country are left worse off.

Now consider what happens if we assume that capital is mobile between countries and that international trade is costly, perhaps because there are tariffs or transaction costs associated with exporting and importing (Mundell 1957). In this case, capital owners will seek the higher returns available in the country that is initially capital-scarce, resulting in a flow of capital from the capital-abundant country to the capital-scarce country. The economic implications of these movements are, in important respects, identical to international trade within the basic H–O model.⁴ Specifically, the flow of capital from the capital-exporting to the capital-importing country equalizes factor prices between both countries, leading to the same welfare and distributive effects as trade with the basic H–O model. The only significant difference between factor price equalization through international trade and

³ A detailed exposition of the H–O model can be found in textbooks on international economics (e.g. Krugman, Obstfeld, and Melitz 2014). We focus only on a couple of core assumptions and insights relevant to this chapter.

⁴ This theory has become known as the 'Mundell equivalency'.

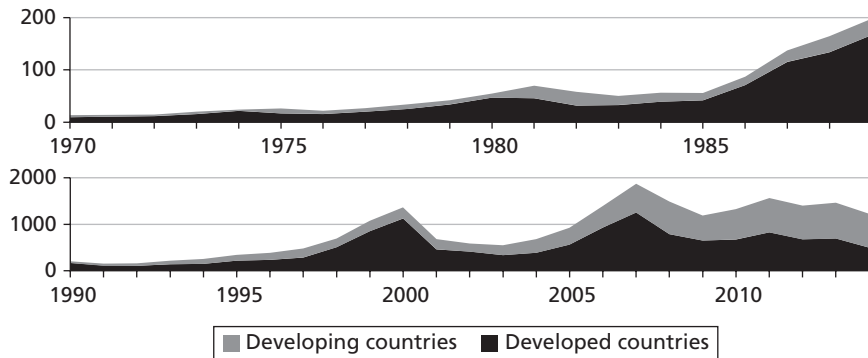


Figure 2.1 Global inward FDI flows, 1970–2014

Note: 'Developing countries' includes 'transition economies'. Figures in billions of US\$ (current prices).
Source: UNCTAD.

factor price equalization through international capital movements is the location of production.⁵

Although the H–O model has considerable clarity and intuitive appeal, its predictions are difficult to reconcile with observed patterns of international investment flows. First, a core prediction from the H–O model is that capital flows from capital-abundant to capital-scarce countries. Yet, during the last 100 years, FDI flows have largely occurred *between* countries that are relatively capital-abundant (Lipsey 1999).⁶ Developed countries are not just the most important source of FDI; they were also the primary destination for FDI until the 2000s (Figure 2.1). Although developing countries do receive a larger share of global FDI inflows than their share of global income, investments in the developing world are concentrated in relatively advanced developing countries. Least-developed countries attract only a slightly higher share of inward FDI than their (very low) share of world income, despite being scarce in capital (Markusen 2008).

Second, whereas the H–O model predicts that capital-abundant countries engage in outward foreign investment and capital-scarce countries receive inward foreign investment, countries typically engage in both (see Table 2.1). Developing countries accounted for a miniscule share of outward FDI for most of the twentieth century, but have become more important

⁵ In comparison to factor price equalization through international trade, factor price equalization through international capital movements results in a larger share of production in the capital-scarce country. A portion of the return to capital owned by the capital-exporting country is then earned through foreign production. However, the returns to labour and capital in each country are unaffected.

⁶ Although information is scarce, previous eras of international business activity also involved FDI between countries with similar factor endowments, for example, in Europe during the Middle Ages and cross-Atlantic flows during the nineteenth century (Jones 1996).

Table 2.1 FDI flows, selected economies, 1970–2010

	1970s		1980s		1990s		2000s		2010s	
	In	Out	In	Out	In	Out	In	Out	In	Out
USA	1.3	7.6	16.9	19.2	48.4	31.0	314.0	142.6	198.0	277.8
UK	1.5	1.7	10.1	7.9	30.5	17.9	121.9	235.4	49.6	39.4
Germany	0.8	1.1	0.3	4.7	3.0	24.2	198.3	56.6	65.6	126.3
Japan	0.1	0.4	0.3	2.4	1.8	50.8	8.3	31.6	−1.3	56.3
China	0.0	0.0	0.1	0.0	3.5	0.8	40.7	0.9	114.7	68.8
Hong Kong	0.0	0.0	0.7	0.1	3.3	2.4	70.5	70.0	82.7	98.4
India	0.0	0.0	0.1	0.0	0.2	0.0	3.6	0.5	27.4	15.9
Korea	0.1	0.0	0.0	0.0	1.0	1.1	11.5	4.8	9.5	28.3

Note: Figures in billions of US\$ (current prices).

Source: UNCTAD (2015a).

sources of FDI over the last decade and a half. By 2014, developing countries accounted for 35 per cent of global outward FDI (UNCTAD 2015a), and countries like China and India had billions of dollars of both inflows and outflows. Traditional models that focus only on factor endowments fail to explain this two-way character of FDI flows.

A third deviation from the predictions of the basic H–O model is that much FDI is attracted not just to countries with high per capita incomes, but also to large markets (Brainard 1997; Markusen and Maskus 2002). In fact, market size is one of the most—if not the most—robust predictor of inward FDI (Chakrabarti 2001). For instance, the European Union’s large integrated market is important *in itself* in attracting inward FDI. Approaches solely focusing on relative costs of capital resulting from different factor endowments have difficulty explaining this phenomenon.

A fourth and final observation, which goes some way to explaining the correlation between market size and inward FDI, is that a significant share of foreign investment is not motivated by different costs of production—as the H–O model predicts—but by the ability to sell goods in host countries. This is often called ‘market-seeking’ FDI, where production plants are set up abroad to service local markets. The investment is ‘horizontal’ in the sense that it replicates activities performed in the home market in a foreign market (Markusen 1984). This contrasts with ‘efficiency-seeking’ FDI, where different stages of a production process are integrated across borders in a ‘vertical’ supply chain (Helpman 1984; Helpman and Krugman 1985, ch. 12). Horizontal FDI is often made through mergers and acquisitions of enterprises in the host country, whereas vertical FDI is often conducted through ‘greenfield’ investments, where foreign investors establish new production facilities in the host country. The distinction between horizontal and vertical motives is porous in practice, and they often interact in ways that make predictions difficult

(e.g. Yeaple 2003),⁷ yet the distinction nevertheless remains analytically useful for some purposes.

In short, until the 1960s, FDI was typically seen through the lens of one of the most influential neoclassical frameworks to explain international economic exchange—the basic H–O model. Yet, this model failed to account for the significant share of global inflows to capital-abundant states, the two-way character of FDI flows, the attraction of FDI to large markets, and the significant share of horizontal FDI among countries with similar factor endowments.⁸ As Chapters 7 and 8 show, these characteristics of international investment flows are also important for the *politics* of the investment treaty regime. For now, however, it suffices to say that, because of these shortcomings of the basic H–O framework, current work on foreign investment focuses not just on *country-specific* locational factors—as in traditional trade models—but also on *investor-specific* factors relating to ownership and organization within *imperfect markets*. This is the subject of the next section.

Foreign direct investment and the firm

When considering the motives of individual firms, the presence of FDI offers a puzzle. Setting up operations abroad is often costly. For market-seeking FDI, where production plants are replicated abroad, the firm may forego economies of scale associated with keeping production within the same plant ('plant-level economies of scale') (Navaretti, Venables, and Frank 2006, ch. 2). For instance, rather than producing extra cars in an existing plant at home, firms incur costs to set up new assembly plants abroad. For efficiency-seeking FDI, where different stages of production are separated in vertical production networks, the firm forgoes 'economies of integration' by increasing the costs of intra-firm trade. For instance, shipping different car components around the world is expensive and increases the complexity of production. Moreover, foreign firms can suffer from barriers due to language, culture, and exclusion from local business networks. This is all before one considers the potential political risks of operating abroad that investment treaties are designed to protect foreign investors from (e.g. uncompensated expropriation). So why is it that firms incur the costs and risks associated with FDI, rather than locating all production in their home market and supplying foreign markets through

⁷ In the following section, we introduce other types of FDI—specifically, natural-resource-seeking FDI and asset-seeking FDI—which do not fit neatly within the categories of 'vertical' or 'horizontal' FDI.

⁸ Another reason why basic versions of the H–O model perform poorly under empirical testing is that capital flows are assumed to be homogenous—that is, portfolio and FDI are treated as equivalent. We will not deal with this here (although see the following discussion on the economic impact of portfolio investment).

exports or, alternatively, licensing out production to local firms that already operate within foreign markets?

In contrast to theories of international trade, there are few general theories of FDI that purport to answer this question. Instead, there are various partial theories and many empirical contributions, which are often statistically fragile (Chakrabarti 2001). Particularly influential is Dunning's Ownership-Location-Internalization (OLI) framework, which is an attempt to summarize and classify a complex set of relationships between multiple variables that explain patterns of FDI (Dunning 1988; 2001). As such, it has difficulty generating testable predictions, but is nevertheless a useful way of organizing the review of the vast and heterogeneous literature on foreign investment in the following text.

The OLI framework asserts that three cumulative factors determine the extent, form, and pattern of FDI: (i) firms' ownership of products or production processes that give firms market power; (ii) locational advantages from operating in a foreign country rather than the home country; and (iii) internalization benefits from exploiting these advantages within the organizational structure of a firm rather than through arm's length agreements with foreign firms (such as licenses). All three factors must be present for FDI to be worthwhile.

OWNERSHIP ADVANTAGES

Ownership advantages are firm-specific assets that a multinational enterprise (MNE) can effectively apply to production in different countries, and which confer a *relative* advantage on the investing firm as compared to other firms. Some of the early works on internationalization of production focused on how these ownership advantages generate monopoly power for multinationals (Kindleberger 1969; Hymer 1976).⁹ More recent economic models of FDI also incorporate firm heterogeneity arising from ownership advantages (e.g. Helpman, Melitz, and Yeaple 2004).

Ownership advantages can result from unique access to production inputs whether at home (e.g. raw materials) or abroad (e.g. international capital). More important, however, are 'intangible assets' such as intellectual property rights, superior production processes, or unique market access through established sales networks. These ownership advantages can result in economies of scale at the level of the firm—'firm-level economies of scale'—as replicating production processes does not require the firm to replicate its firm-specific assets as well (Markusen 2002). Toyota, for instance, can bring its brand,

⁹ Marxist approaches to foreign investment rest on similar notions: market imperfections in industrialized countries generate monopolization tendencies, which in turn spur large corporations to engage in foreign investment (Brewer 2002, 261–5).

Table 2.2 Foreign-owned vs. national plants in the United Kingdom, average 1996–2000

	Foreign owned	UK owned
Size (number of employees)	485.16	203.45
Productivity I (value added/employee)	44.60	29.60
Productivity II (output/employee)	151.99	81.85
Capital intensity (capital/employee)	98.81	43.24

Note: Average for the pooled 1996–2000 sample. Productivity I, Productivity II, and Capital Intensity in thousands of pounds sterling.

Source: Criscuolo and Martin 2003, table 4.

technology, and expertise on research and development to any new manufacturing plant it sets up or acquires abroad. These firm-level economies of scale can counterbalance the reduction in plant-level economies of scale associated with FDI.

Assessing ownership advantages is no easy task due to the scarcity of data on economic performance at the firm level. One potential indicator of ownership advantages is a comparison of the productivity of foreign-owned firms with domestically owned firms. Table 2.2 compares UK-based plants in manufacturing, mining, and utilities. From this basic comparison, it might appear that foreign-owned firms are more productive than UK-owned firms.

However, differences between foreign-owned and domestically owned firms could arise from firm size. Foreign-owned firms tend to be larger than domestic firms, many of which operate only in their home market (e.g. Horst 1972). Moreover, foreign-owned firms are concentrated in sectors that are more intensive in capital, technology, and research than the economy as a whole. The importance of these factors is reflected in studies which show that differences in productivity are primarily explained by whether firms have operations in multiple countries (i.e. multinational vs. single-country firms), regardless of whether they are locally or foreign owned.¹⁰ This supports the view that firms invest outside their home markets because they possess ownership advantages.

Related to the higher productivity of multinational firms is the often-repeated stylized fact that foreign-owned firms tend to pay higher wages than domestic firms. Affiliates of US multinationals, for instance, pay 40 per cent higher wages in high-income countries and about double the local

¹⁰ For example, there is little difference between the productivity of UK plants owned by foreign MNEs and the productivity of UK plants owned by UK MNEs (Criscuolo and Martin 2009). Other studies have found similar results (e.g. Doms and Jensen 1998; Benfratello and Sembenelli 2002). Some studies do identify productivity advantages of *foreign* firms after controlling for factors such as size, multinationality, and capital intensity (e.g. Conyon et al. 2002), whereas others find none (e.g. Benfratello and Sembenelli 2002). No study has found that *multinationals* perform worse than firms without foreign operations (Navaretti, Venables, and Frank 2006, 43).

average wage in low-income countries (Graham 2000). Again, this could be due to a range of factors other than productivity advantages, such as greater propensity for foreign ownership in different sectors or domestic regions (e.g. special economic zones) than average domestic firms. Yet, even after controlling for these, and other factors, the higher wages of foreign-owned firms seem to persist (Aitken, Harrison, and Lipsey 1996; Lipsey and Sjöholm 2001). The wage premium of foreign-owned firms is at least in part due to higher productivity (Conyon et al. 2002; Brown, Deardorff, and Stern 2004, 318), which again suggests that these firms do in fact have ownership advantages.

Preferential treatment given by home states to firms operating abroad is another source of ownership advantage. Notably, state-owned or state-controlled enterprises often benefit from cheap credit and other benefits that provide a competitive advantage in both home *and* foreign markets. The utility sector is a good example. State-owned enterprises (SOEs) enjoying monopolies and/or significant government subsidies dominate the sector (Capobianco and Christiansen 2011). As described in the following text, these ownership advantages have important policy implications for the investment treaty regime, as many SOEs invest abroad and most investment treaties cover such investments.

LOCATIONAL ADVANTAGES

Market power associated with ownership advantages is an insufficient reason for firms to engage in FDI. If Toyota is more efficient than an Indian car manufacturer, it can outcompete the Indian firm by simply exporting cars to India. The second condition for FDI is therefore the presence of locational advantages from operating abroad, such as the lower costs of production available in the host country or the ability to avoid tariffs on imports. In the absence of such advantages, firms will operate solely within their home markets and supply foreign markets through exports (Blonigen 2005; Faeth 2009).¹¹ Importantly, however, different types of locational advantages are important for different types of FDI. This is crucial for ongoing debates about the 'locational advantage' that investment treaties provide—something we return to in Chapter 6. Here, we briefly review four sources of locational advantages: (i) proximity to foreign markets; (ii) domestic investment policy,

¹¹ We single out particularly important aspects of this large literature. We exclude, for instance, the literature relating to risk diversification in terms of markets and products (for an early work, see Rugman 1977). Equally, we do not discuss the role of economic and financial crises (for a review, see Poulsen and Hufbauer 2011), industry agglomeration (for a review, see Navaretti, Venables, and Frank 2006, 147–9), 'oligopolistic reactions' (Knickerbocker 1973), regime type and property rights (Henisz 2000; Jensen 2003; Li and Resnick 2003; Choi 2009; Li 2009; Kerner 2014), labour rights (Busse, Nunnenkamp, and Spatareanu 2011), labour markets (Javorcik and Spatareanu 2005), and corruption (Wei 2000).

including investment subsidies and taxation; (iii) regional integration; and finally (iv) specific assets such as availability of natural resources and technology.

First, some scholars have argued that a proximity–concentration trade-off applies to market-seeking FDI (Brainard 1997). A firm gives up the *concentration* of production, by replicating plants abroad, but achieves *proximity* to a foreign market. By contrast, an exporting firm gives up proximity to foreign markets, while keeping production concentrated in one domestic plant. One implication of this theory is that higher costs of international trade should lead to more market-seeking FDI. Some FDI-inducing costs to trade are imposed by states, such as tariffs (Belderbos 1997; Blonigen 2002; Nunnenkamp and Spatz 2002), whereas other costs are inherent in exporting, such as transportation and communication (Buckley and Casson 1981; Markusen 1984).

For efficiency-seeking FDI, the impact of trade barriers is very different. Recall that the core locational advantages that drive vertical FDI are the availability and cost of inputs to production—as trade models predict. The availability of cheap labour is often important, but other factors fall under this category as well. Whereas trade costs can encourage horizontal FDI, they are bound to discourage vertical FDI by increasing the costs of intra-firm trade of intermediate goods (Hanson, Mataloni, and Slaughter 2001). While trade is a substitute for horizontal FDI, it should to be a complement for vertical FDI—for instance, in manufacturing and assembly. This is important, as about one-third of world trade happens within firms and 80 per cent of all trade involves multinationals (UNCTAD 2013). It is also relevant to consider in the context of broad economic integration agreements that include both trade liberalization and investment protection provisions (see Chapters 1 and 6).

A second locational factor that is relevant to both types of investments is that many states have reduced *barriers to investment* significantly.¹² Much of the increase of FDI into the developing world since the 1980s is due to deep reforms in their investment policies (see Chapter 1). Removal of restrictions on inward foreign investment in service sectors, for instance, prompted significant market-seeking FDI in telecommunications, energy, and transport (sectors that are all heavily represented in investment treaty claims, as Chapter 3 shows).

Many countries have gone beyond removing barriers to investment and also provide direct and indirect subsidies to foreign investors, such as preferential tax treatment, support services, infrastructure, as well grants and preferential

¹² The removal of barriers to investment is not, in itself, a locational advantage. Even if all barriers to foreign investment are removed, there must be some additional location advantage to investing abroad for foreign investment to occur. However, assuming that other underlying locational advantages are present, the removal of barriers to investment is a locational factor that makes foreign investment more likely.

loans (Johnson et al. 2016). For instance, 70 per cent of African countries use tax holidays to attract FDI (Cleeve 2008). Western countries also use direct and indirect subsidies in an attempt to attract FDI, particularly at the sub-national level (see e.g. Neven and Siotis 1993; Jensen et al. 2014). Although such incentives may offer locational advantages for multinationals at the margin, they can be economically detrimental for host states overall if they fail to effectively address market failures, in which case they would also distort competition with like domestic investors (see e.g. Blomström and Kokko 2003). As Chapter 5 underscores, this debate about investment subsidies is important for the investment treaty regime as it has parallels with the analysis of the economic benefits of investment treaties.

Aside from broader investment regulation and specific incentives, some studies have associated higher taxes with lower levels of FDI (Loree and Guisinger 1995; Hines 1999; De Mooij and Ederveen 2003). Yet, it is difficult to establish causal effects, as findings are bound to vary not just by types of investments but also types of taxes.¹³ Aside from the extent of the fiscal burden, uncertainty arising from potential changes in a state's tax regime over time and the administrative burden of complying with tax laws may also affect FDI (UNCTAD 2015a, ch. 5). Moreover, any negative effect of higher taxation on inward FDI must be weighed against potential benefits of tax-funded public services, such as education and infrastructure, which are important for many multinationals (Madiès and Dethier 2012). Still, the relevance of taxation for multinationals is important to keep in mind—not least when considering the FDI impact of investment treaties as compared to, for instance, double-taxation treaties (see Chapter 6).

A third locational factor is the extent to which the host state is part of a broader, regionally integrated market (Chase 2003; Manger 2009).¹⁴ For market-seeking FDI, regional integration is important in allowing access to bigger markets. For efficiency-seeking FDI, regional integration reduces trade costs and thus encourages vertical integration within the region. A well-known example is the growth of US FDI into Mexico after the adoption of NAFTA in 1994. Regional integration also benefits export-platform FDI. After the establishment of the European Single Market, for instance, small European countries such as Ireland became more attractive as export platforms, particularly if

¹³ A more fundamental problem is distortion in the underlying data arising from the ability of firms to shift profits by engaging in transfer pricing (see e.g. Gresik 2001). In addition, multinationals engaged in tax evasion or avoidance are attracted to low-tax jurisdictions (Desai, Foley, and Hines 2006; UNCTAD 2015a, ch. 5). Many US multinationals, for instance, have an incentive to move their headquarters abroad ('inversions') to avoid paying US corporate taxes on unrepatriated profits earned outside the United States by their subsidiaries.

¹⁴ Rugman argued in several contributions that most multinationals are not global but primarily regionally oriented (Rugman and Verbeke 2004; Rugman 2005). If true, this should further increase the importance of regional integration agreements.

they had lower factor costs or tax rates than other countries in the region (Navaretti, Venables, and Frank 2006, ch. 8).¹⁵ A major challenge in assessing the impact of regional integration on FDI is to separate out the effect of domestic reforms and distinct elements of regional cooperation (e.g. trade liberalization, investment liberalization, and free movement of labour) undertaken at the same time (Blomström and Kokko 1997). As Chapter 6 shows, a similar challenge arises with many studies assessing the impact of investment treaties on FDI.

Finally, we turn to two other types of FDI that we have yet to introduce—namely, those that seek to secure assets. The first type is ‘natural-resource-seeking’ FDI, where firms invest abroad to access primary commodities. This was the dominant form of FDI during the colonial era (Jones 1996), but it constitutes a smaller portion of global foreign investment today. In 2012, 12 per cent of global inward FDI stock was in primary industries—most of which is in extractive industries—compared with 26 per cent in manufacturing and 63 per cent in services (UNCTAD 2015a).¹⁶ In some countries, however, natural-resource-seeking FDI projects still dominate, such as parts of Africa, Central Asia, and Latin America. Examples from 2005 are included in Figure 2.2.

Some locational considerations are the same for natural-resource-seeking and efficiency-seeking investments. For instance, openness to trade should be important, as primary commodities must be exported back to the parent firm or onward to global markets. Similarly, policy openness to FDI in natural resource sectors matters. Other locational considerations differ, however, as natural-resource-seeking investment is critically dependent on the availability of primary commodities. This means that resource-seeking investors often tolerate conditions that would dissuade foreign investors in manufacturing or

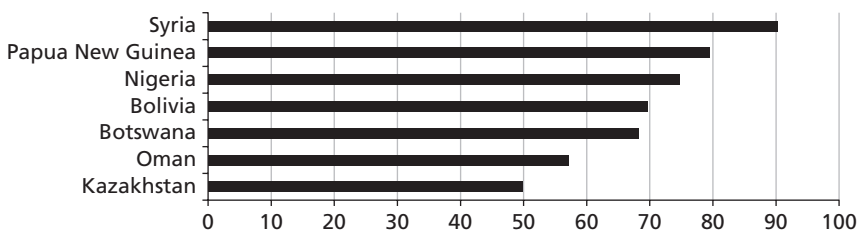


Figure 2.2 Share of extractive industries in the inward FDI stock of selected economies

Source: UNCTAD.

¹⁵ Recall from Chapter 1 that Ireland is one of the very few developed countries without any investment treaties.

¹⁶ Seven per cent remain unspecified.

services sectors, such as corruption or political instability. While studies of whether more stringent environmental regulation increases or decreases inward FDI in the aggregate have yielded mixed results (Brunnermeier and Levinson 2004), ‘dirty’ industries such as oil and gas could be more likely to favour jurisdictions with lax environmental standards at the margin (Copeland and Taylor 2004).¹⁷

Natural-resource-seeking investors may regard the value of investment treaties differently than other types of investors. In this respect, it is noteworthy that, despite its relatively small share of global FDI, roughly one in four investment treaty arbitrations relate to foreign investments in natural resources (see Table 1.2). This could be due to the high sunk costs and relatively long time horizons associated with these investments, as well as the potential negative impacts of natural resources on the ‘quality’ of governance in some contexts (Dupont et al. 2015). We return to these questions in Chapters 5 and 6.

The second type of asset-seeking investment is ‘strategic asset-seeking investment’, where firms invest abroad to acquire assets such as brands or technology (Makino, Lau, and Yeh 2002). Note that this type of investment fits poorly with the OLI framework overall as firms go abroad to seek, rather than exploit, firm-level ownership advantages. Yet, it has proven particularly important for developing country firms investing in developed countries to overcome latecomer disadvantages (Makino, Lao, and Yeh 2002; Cui, Meyer, and Hu 2014). It often takes place through mergers and acquisitions. For instance, Japanese acquisitions in the United States during the 1980s were motivated by the desire to access technology (e.g. Kogut and Chang 1991). A more recent example was when Lenovo, a Chinese firm, acquired parts of IBM (Rui and Yip 2008). As many investment treaties explicitly cover intellectual property as an ‘investment’ (also see below), the investment treaty regime could have important implications for firms investing abroad primarily to seek strategic assets.

INTERNALIZATION ADVANTAGES

Even when firms are internationally competitive and foreign countries have immobile locational advantages large enough that a commercial presence is useful, firms can benefit from these advantages without FDI. Rather than keeping the cross-border production process within the ‘boundary of the firm’—i.e. internalization—firms can outsource activities within the production process (Rugman 1980). If there are no *internalization* benefits from retaining control over their ownership advantages, foreign firms will simply

¹⁷ The evidence for this proposition is mixed and subject to significant data constraints. An influential study finds no evidence that environmental standards are important drivers of FDI for ‘dirty’ industries (Javorcik and Wei 2004).

license proprietary technology and other advantages for use by domestic firms at arm's length.

Many firms *do not* internalize the entire production process within a single corporate group. For example, Apple, Fujitsu-Siemens, and Lenovo all use a Taiwanese company, Inventec, to design, build, and distribute electronics products from its production plants in the Czech Republic, Malaysia, and Mexico (UNCTAD 2011, 129).¹⁸ Identifying why, and under what circumstances, firms internalize their cross-border activities is the most important aspect of FDI theory. The extent of internalization also has important implications for the positive spillovers from foreign investment to the host economy, an issue we discuss in the text that follows.

Rooted in insights from the economics of organization and the theory of the firm (e.g. Coase 1937; Williamson 1981), we can see a multinational corporation as a special case of a firm with several plants (Buckley and Casson 1976, 36). Even when it is possible to rent out or license skills, technologies, and other assets to external partners, there are reasons for keeping production within a single firm or corporate group. Motivations for internalization vary depending on the type of investment; so here we will focus on the core distinction between horizontal (market-seeking) and vertical (efficiency-seeking) investments.

In general, market-seeking investors internalize cross-border activities to protect proprietary assets (e.g. brands, intellectual property) (see e.g. Horstmann and Markusen 1987). Coca Cola, for instance, prefers to pay for the establishment of parallel production facilities in the countries in which it intends to sell its products, rather than share its proprietary concentrate with external partners. In contrast, vertically integrated firms generally internalize activities within a single production chain to ensure the quality, compatibility, and security of supply of intermediate products (Caves 1996, 13). The alternative—namely, organizing a production chain through a series of external contractual relationships—can be difficult as writing, monitoring, and enforcing the contracts themselves are often costly.¹⁹

These theories of the reasons for internalization suggest a counterintuitive relationship between locational advantages and FDI, in that they imply that weak protection of intellectual property and contracts should *increase* the

¹⁸ In 2010, the value of outsourced service provision and manufacturing conducted under third-party contracts was over US\$1 trillion. Franchising and licensing each accounted for an additional US\$300 billion, and management contracts for around US\$100 billion (UNCTAD 2011).

¹⁹ These concerns are related to the 'hold-up problem' that Chapter 5 discusses in more detail in relation to 'contracting' with host states (see, generally, Grossman and Hart 1986; Hart and Moore 1990). One example of incomplete contract monitoring and enforcement was when Mattel, a US multinational, was forced to recall millions of toys produced by contractors in China because of concerns with product safety (Walter and Sen 2009, 182).

likelihood of FDI.²⁰ In practice, however, the relationship between intellectual property protection and FDI is likely to be ambiguous. For even when production is internalized within the firm, concerns about imitation mean that foreign investors rank protection of intellectual property high among their priorities when considering where to invest, particularly in research-intensive industries (see generally, Javorcik 2004). Equally, vertically integrated firms are interested in contract enforcement insofar as least some of their activities are dependent on local partners, as is usually the case (Henisz 2000; see also Ahlquist and Prakash 2010).

In sum, we can understand FDI as the result of the interaction of three factors: ownership advantages, locational advantages, and internalization advantages. All three factors must be present for firms to invest abroad. However, different types of ownership, locational, and internalization advantages are relevant for different types of firms investing in different sectors. Understanding that different advantages are relevant to different types of investment is important when considering the impact of investment treaties on firms' decisions to invest abroad, a question we return to in later chapters.

The economic impact of foreign direct investment

Apart from understanding why firms invest abroad, the economic impact of such investments is also a critical question for the investment treaty regime. Countries often enter into investment treaties with the expectation that they would stimulate foreign capital flows, which in turn would promote the economic development of both host and home states (see Chapters 7 and 8). Moreover, different views on the economic impact of foreign investment influence proposals to reform the investment treaty regime. For example, some supporters of investment treaties equate criticism of investment treaty arbitration with opposition to FDI (Schwebel 2009, 269), and some NGOs campaigning against investment treaties are also staunch critics of multinational corporations.

Here, we focus only on the economic impact on host states, which is subject to a large and heterogeneous literature.²¹ The impact of FDI is likely to vary considerably. An investment by Microsoft in Denmark and an investment by a Chinese oil company in Nigeria are very different propositions. As Moran notes, '[t]he idea that FDI has some generalized positive or negative impact on

²⁰ Recall that investment treaties can be used to protect intellectual property as an 'investment'. However, unlike investor-state contracts, commercial contracts with private partners cannot be enforced through investment treaties.

²¹ On the economic impact on home states, see the references in footnote 1.

host-country growth does not make sense' (Moran 2011, 3). And indeed, there is only weak support for large exogenous effects of FDI on economic growth in the aggregate (Borensztein, De Gregorio, and Lee 1998; Carkovic and Levine 2005; Alfaro et al. 2010). Aggregate studies of the relationship between FDI and growth are likely to mask significant variations in the economic impact of different types of FDI in different circumstances (Nair-Reichert and Weinhold 2001). For this reason, recent empirical research is more nuanced, focusing on the circumstances in which FDI is beneficial from a host country perspective.

One potential benefit of FDI is through market reallocation of resources to more productive firms (Melitz 2003; Helpman et al. 2004). This is a core theoretical gain from international investment liberalization, but surprisingly few studies on FDI have tried to isolate it (Alfaro 2014; for an exception, see Alfaro and Chen 2015). In principle, however, the expansion of more productive firms should benefit a host country, even if those firms are foreign and their expansion displaces their less efficient domestic competitors.

In addition to direct benefits, FDI can also create indirect benefits, or 'spillovers', from foreign to domestic firms. The most well-known spillovers from FDI are the diffusion of knowledge and technology. These spillovers are thought to have an independent, positive causal impact on economic growth (Balasubramanyam, Salisu, and Sapsford 1996). A first type of spillover is horizontal. Here, domestic firms gain from technology and knowledge 'leakages' from foreign firms *within* the same industry. This can happen because of demonstration effects, where domestic firms emulate the production processes of foreign affiliates (Bengoa and Sanchez-Robles 2003), or because of worker mobility, where foreign firms train workers who then change jobs and work for local firms.²² The latter effect is consistent with the finding that foreign-owned firms tend to invest more in educating workers than locally owned counterparts (te Velde 2002; on wage differentials, see earlier). A second type of spillover is vertical. Here, domestic firms gain from engaging directly with foreign firms *across* industries, which in turn can occur through backward linkages (foreign firms buy from domestic suppliers) and forward linkages (foreign firms sell to domestic purchasers).

Evidence suggests that horizontal FDI spillovers are often small or non-existent (Iršová and Havránek 2013). This is consistent with the internalization rationale for FDI (mentioned earlier), where foreign firms guard ownership advantages to protect their competitive position (Javorcik 2004).²³ There is

²² There are also illicit forms of technology and knowledge 'leakage' through industrial espionage. We do not cover these here.

²³ Some studies even find that FDI is correlated with a decline in the productivity of local firms (e.g. Konings 2001). One possible explanation is that local firms lose market share as a result of competition from foreign entrants, meaning that they lose their ability to benefit from economies of scale in production (Aitken and Harrison 1999).

much stronger evidence to support the existence of positive vertical productivity spillovers associated with backward linkages (e.g. Javorcik 2004; Kugler 2006). This could be because foreign firms have an interest in sharing technology and quality-control techniques with their suppliers (Moran 2007). Recent work has also identified significant ‘forward’ vertical spillovers among local firms that use inputs supplied by foreign-owned firms (Newman et al. 2015).

Increasingly, scholars are careful to acknowledge that spillover effects depend on host country characteristics (Blomström and Kokko 2003).²⁴ Diffusion of technology, for instance, requires absorptive capacity among domestic firms. In one influential study, Borensztein, De Gregorio, and Lee (1998) concluded that FDI had a positive impact on growth but only in countries with highly educated workforces. According to this analysis, countries such as Afghanistan or Eritrea are unlikely to exploit FDI spillovers (see also Xu 2000). Similarly, Alfaro et al. (2010) find that local entrepreneurs depend on well-functioning local financial markets if they are to take advantage of FDI-induced knowledge and technology spillovers (see also Hermes and Lensink 2003; Javorcik and Spatareanu 2009). Along the same lines, other work has highlighted the importance of trade policy, arguing that FDI does not spread knowledge and technology in highly distorted economic environments (e.g. Balasubramanyam, Salisu, and Sapsford 1996).

The impact of FDI can also vary across sectors and industries. Due to data limitations, most economic studies focus exclusively on aggregate FDI flows or stocks. Alfaro and Charlton (2007) are an exception. They use a range of difference metrics, such as skill requirements for employees, as proxies for the ‘quality’ of FDI in different sectors and industries and find that higher-quality FDI has a greater positive impact on economic growth. These findings are consistent with firm-level data from the United Kingdom, where intra-industry spillovers are absent in the aggregate, but present for high-skill industries (Girma, Greenaway, and Wakelin 2001; see also Kathuria 2000 for India).

More generally, we should expect greater positive spillovers in sectors where there are close linkages between domestic and foreign firms—such as labour-intensive manufacturing—than in sectors where there is less scope for linkages—notably, natural resource extraction (UNCTAD 2001, 138). This is reflected in concerns about ‘enclave’ economies where foreign firms entirely *internalize* their production with little, if any, engagement with the local economy. As an extreme example, consider the following description by a

²⁴ The majority of studies cited in this paragraph do not seek to isolate spillover effects. Rather, they examine the extent to which the impact of inward FDI on economic growth in the aggregate is conditional on the presence of various other factors. However, the existence of spillovers provides a possible explanation for findings that the impact of FDI on economic growth is conditional on other factors.

journalist of a US\$1.5 billion natural gas facility in Equatorial Guinea that Marathon Oil, a US firm, built and operated:

The plant—like many oil installations in the developing world—could have been on the moon for all the benefit it offered local business... Instead of buying cement from a Malabo company that might not deliver on time, Marathon built a small cement factory on the construction site. Raw materials were imported, and the factory would be dismantled when construction ended. The trailers in which (foreign workers) lived were prefab units—no local materials or local had been used to build them. The plant had its own satellite phone network, which was connected to the company's Texas network—if you pieced up a phone you would be in the Houston area code, and dialling a number in Malabo would be an international call. The facility also had its own power plant and water-purification and sewage system. It existed off the local grid (Maass 2009, 35–6).

Such examples are consistent with evidence that investments in extractive sectors are more likely to have negative effects for host states with little institutional and regulatory capacity (Hendrix and Noland 2014).²⁵

Equally, there may be important differences with respect to the home state of the investor. For example, Chinese firms investing in infrastructure and extractive industries in Africa are widely believed to employ more migrant workers from the investor's home country (i.e. China) than comparable Western firms (e.g. Alessi and Xu 2015). There is insufficient data to confirm this hypothesis, however, or to explore its implications for the impact of Chinese outward FDI. This reflects a wider lack of research on the differential impacts of FDI according to the home state of the investor (for exceptions, see Girma and Görg 2007; Javorcik and Spatareanu 2011).

A final factor is the investor's mode of entry. Neto, Brandao, and Cerqueira (2010) find that FDI made through greenfield investments has a greater positive economic impact on host states, through greater capital formation and productivity growth, than FDI through mergers and acquisitions. Other studies report similar findings (Harms and Méon 2011). Although limited data prevents strong conclusions (Alfaro 2014), these findings are relevant for the study of the investment treaty regime as well, since investment treaties protect foreign investors irrespective of their mode of entry.

The central conclusion emerging from this section is simple: while FDI *can* play an important role for economic development in host states, its impact is contingent on host state and investment-specific conditions. Investment treaties, however, grant protections to practically all foreign investors and investments—the subject of the next, and final, section.

²⁵ For broader arguments considering other challenges associated with managing natural resources in such countries, see, for example, Ross (2012).

'Investments' and 'investors' covered by investment treaties

To appreciate the *legal* architecture of the investment treaty regime, it is not enough to understand the nature of the procedural rights (Chapter 3) and substantive rules (Chapter 4) of the regime. We also need to identify the investments and investors that fall within its coverage. In light of the previous sections of this chapter, the scope of coverage of investment treaties is also critical when assessing the *economic* effects of the regime.

Each investment treaty defines the range of foreign 'investments' and 'investors' that fall within the coverage of the treaty in question. In principle, one would expect these legal definitions to align with the types of actors and assets that states wish to attract and protect. In practice, however, there is a significant incongruity between the legal coverage of investment treaties, which protect almost every type of economic asset owned or controlled by a foreign 'investor', and policy debate about investment treaties, which proceeds on the assumption that the purpose of investment treaties is to attract FDI (Bonnitcha 2016).

INVESTMENTS

Investment treaties almost always define the range of 'investments' that they cover. The vast majority contain broad definitions that encompass a very wide range of economic assets. Most treaties refer to 'every kind of asset' owned or controlled by a foreign investor, followed by an open-ended list including tangible property, debt and equity, bonds, contractual rights, intellectual property rights, and concession contracts. Other investment treaties use closed lists, but the lists are often so long that they cover practically every type of asset as well. Most treaties cover investments made both before and after the treaty entered into force.²⁶ Aside from provisions dealing with investment liberalization (see Chapter 4), exclusion of certain sectors from the scope of the treaty's coverage is rare.²⁷ The vast majority of investment treaties do not distinguish between 'high-quality' and 'low-quality'—or 'sustainable' and 'unsustainable'—investments. Instead, they cover practically all assets owned or controlled by foreigners.

²⁶ Coverage of pre-existing investments typically extends only to state conduct in relation to such investments after the treaty has entered into force. As a rule, investment treaties do not allow foreign investors to challenge the conduct of the host state that took place prior to the treaty's entry into force.

²⁷ One sectoral exclusion found in some investment treaties concerns government procurement. ACIA Article 3(4)(c) completely excludes government procurement from the scope of the agreement; NAFTA Article 1108(7)(a) contains a partial exclusion of government procurement.

Investment treaties' coverage extends well beyond FDI to include assets that fall within the standard definition of portfolio investment—including share-holdings of less than 10 per cent, loans, and other contractual rights that do not confer control over an enterprise. Notably, some tribunals have also held that sovereign debt also falls within the coverage of investment treaties (e.g. *Abaclat v. Argentina* 2011). Such broad coverage of the investment treaty regime has important economic implications, as most research on portfolio investments is sceptical of their benefit to host states (see e.g. Prasad, Rajan, and Subramanian 2006; Kose et al. 2009). The absence of control over an enterprise in the host state means that portfolio investment is less likely to involve the transfer of technology, skills, and know-how into the host state than FDI (Colen, Maertens, and Swinnen 2013). Flows of portfolio investment are also more volatile than FDI (Albuquerque 2003), which can leave a country vulnerable to rapid withdrawal of funds during times of crisis (Stiglitz 2000; Reinhart and Reinhart 2008). Countries with inadequate regulatory and institutional frameworks are also prone to deeper and longer financial crises after liberalizing their capital account to short-term portfolio flows (e.g. Ostry et al. 2010).²⁸ This is relevant for the investment treaty regime as well, as investment treaties not only protect portfolio investments, but also liberalize the capital account for 'investors' covered by the treaties through clauses that permit the free transfer of funds (see Chapter 4). It is partly for these reasons that some recent treaties wholly or partially exclude portfolio investments from coverage—such as the 2015 Brazilian and Indian model BITs. These are exceptions, however, and the vast majority of investment treaties in force extend coverage to a wide range of portfolio investments.

Another systemic implication of broad definitions of 'investment' is that they generally allow shareholders—including minority, indirect, and non-controlling shareholders—to file investment treaty arbitrations in relation to the treatment of an enterprise in the host state in which they hold shares (e.g. *Enron v. Argentina* 2004).²⁹ This significantly increases the number of potential claimants in relation to any particular investment dispute. In this respect, the investment treaty regime differs from almost all advanced domestic legal systems, which contain strict limitations on the ability of shareholders to file claims for reflective loss (such as declining value of shares) arising from the treatment of an enterprise in which they hold shares (Gaukrodger 2014a).

²⁸ It is partly for this reason that the IMF revisited its policy on capital account liberalization following the global financial crisis in 2008, and is now more open to the use of capital controls as an appropriate policy response to financial crises in some circumstances (IMF 2012; see also Rodrik 2010).

²⁹ A small minority of tribunals have attempted to articulate some limits to this principle. For example, the tribunal in *Standard Chartered v. Tanzania* (2012, paras. 230–2) held that 'passive' indirect ownership of shares in an enterprise did not fall within the scope of the UK–Tanzania BIT. In the view of the tribunal, some 'active' contribution to the investment by the investor was required.

In addition to definitions of the ‘investments’ covered by individual investment treaties, some arbitral tribunals have held that the ICSID Convention places further limitations on the types of ‘investments’ in relation to which investment treaty arbitration is possible under the ICSID Convention. Insofar as the ICSID Convention imposes such limitations, a question that remains controversial, they do not affect the scope of investment treaties themselves. Such limitations are relevant only in arbitrations under the ICSID Convention.³⁰

Article 25 of the ICSID Convention provides for arbitration in claims arising ‘directly out of an investment’. Although the term ‘investment’ is not defined in the ICSID Convention, some arbitral tribunals have held that it has an inherent meaning, which may be narrower than the range of ‘investments’ covered by a particular investment treaty. Specifically, some tribunals have held that the concept of an ‘investment’ in the ICSID Convention refers to:

- (a) a contribution,
- (b) of a certain duration over which the project is implemented,
- (c) which involves the sharing of the operational risks, and
- (d) a contribution to the host State’s development (*Salini v. Morocco* 2001; *Bayindir v. Pakistan* 2005).

According to this view, arbitration under the ICSID Convention is only possible if the purported ‘investment’ possesses these characteristics.

On this basis, tribunals have occasionally refused to allow claims in cases in which the foreign investor’s activity in the host state did not, in the tribunal’s view, make a contribution to the host state’s development. For example, in *Malaysian Historical Salvors v. Malaysia* (2005), the tribunal held that a contract granting a foreign firm the right to locate and salvage cargo from a shipwreck in Malaysia was not an ‘investment’ within the meaning of the ICSID Convention because it did not make a significant contribution to Malaysia’s economy. However, the tribunal’s reasoning was exceptional, and the decision was annulled in 2009.³¹ The vast majority of tribunals have held either that there is no requirement that an ‘investment’ must contribute to the development of the host state, or that, if such a requirement does exist, that it is easily satisfied.

³⁰ We examine the role of the ICSID Convention in establishing a framework for investment treaty arbitration in more detail in Chapter 3. In short, most investment treaties provide for arbitration under the ICSID Convention, although a foreign investor initiating an arbitration generally has a choice of whether to bring the arbitration under the ICSID Convention or some other set of procedural rules—for example, the UNCITRAL Rules.

³¹ ICSID Annulment proceedings allow the losing party to seek the review of awards on a limited number of procedural grounds. A successful annulment sets aside the original award. See Chapter 3.

INVESTORS

Investment treaties also cover a very broad range of foreign ‘investors’, grouped under two types: individuals (natural persons) and juridical entities (legal persons). With respect to the first category, investment treaties generally cover all individuals who are nationals of the home state according to that state’s laws. Investment treaty arbitrations concerning foreign investments owned or controlled by individuals are in the minority, although their prevalence varies by region. Among cases against countries of South and East Asia and the Pacific, for instance, the share is only 7 per cent (ICSID 2015). In contrast, individuals have brought almost 20 per cent of the ICSID cases against African and European states (ICSID 2016a; ICSID 2016b.) One well-known example of an investment treaty claim brought by an individual involves German entrepreneur Franz Sedelmayer under the Germany–USSR BIT, alleging mistreatment of his security services firm in Russia.³²

Juridical entities bring the majority of investment treaty claims. Most investment treaties define the set of legal persons falling within a treaty’s coverage to include all juridical entities constituted in the ‘home’ state.³³ As such, companies qualify as ‘investors’ of the state in which they are incorporated, even if they do not have any significant business operations in that jurisdiction. This approach reflects standard legal principles, according to which a company is considered to have the nationality of its place of incorporation. A minority of investment treaties impose the additional requirement that a company must have its headquarters—or a significant commercial presence—in the ‘home’ state to be considered an investor of that state.³⁴

The practical effect of treaty provisions that recognize all legal entities incorporated in a given state as ‘investors’ covered by the treaty is to expand the potential scope of application of any one investment treaty. Figure 2.3 depicts three scenarios. In the first scenario, a company decides to invest in a foreign country through a wholly owned subsidiary company incorporated in a third state, perhaps because the structure has tax benefits. In this case, the subsidiary in the third country qualifies as an ‘investor’ under the BIT between the third country and the host state and can therefore file an investment treaty arbitration against the host state. For example, one tribunal allowed a Dutch subsidiary of Mobil Corporation, a US company, to file an arbitration against

³² Sedelmayer owned a US-incorporated company, which made the investment in Russia. The US company did not qualify as an ‘investor’ under the Germany–USSR BIT. Moreover, Russia and the United States have signed an investment treaty, but that treaty never entered into force. However, as a German national and owner of the company that made the investment in Russia, Sedelmayer qualified as an (individual) ‘investor’ under the Germany–USSR BIT.

³³ For example, Article 1(b) of the 2004 Dutch Model BIT, which simply refers to legal persons constituted under the law of the home state—a very broad definition.

³⁴ For example, Article 1(2)(b) of the France–Mexico BIT.

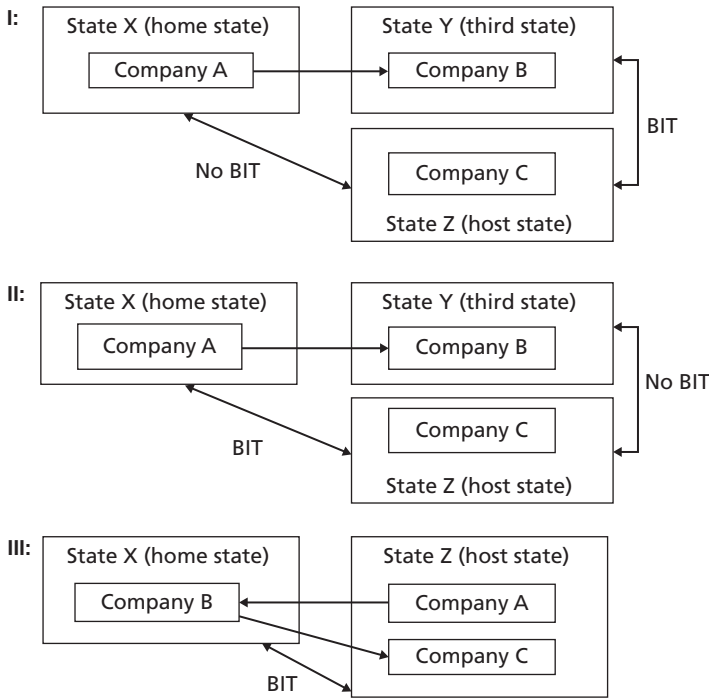


Figure 2.3 Corporate structuring and investment treaty coverage

Venezuela, despite Mobil admitting that it had restructured its investment by inserting the Dutch intermediary into the chain of ownership *after* the investment was originally made, solely to obtain coverage of the Netherlands–Venezuela BIT (*Mobil v. Venezuela* 2010). This restructuring was necessary because there was no investment treaty between the United States and Venezuela.

A second scenario is when investments are owned via subsidiaries incorporated in third countries that do *not* have a BIT with the host state, whereas the home state of the ‘parent company’ does. This scenario is illustrated in part II of Figure 2.3. In such situations, the ability of the investor (Company A) to bring an arbitration against the host state (State Z) based on its indirect ownership of the underlying investment depends on the terms of the treaty in question (e.g. *HICEE v. Slovakia* 2011). However, in the absence of clear limitations in the treaty in question, arbitral tribunals have generally allowed investors to bring arbitrations based on indirect ownership of foreign investments.

A third scenario involves a domestic investor structuring an investment in its ‘home’ state via a foreign-incorporated company to obtain investment treaty coverage. For example, in a case against Ukraine, a Lithuanian-incorporated

company 99 per cent owned by Ukrainian nationals was held to fall within the definition of a Lithuanian ‘investor’ under the Lithuania–Ukraine BIT. The tribunal considered that the Ukrainian nationals’ control of the company was irrelevant. This type of arbitration is also possible where the shareholders of a company incorporated in the host state are companies incorporated in a foreign country and the shareholder companies are ultimately owned and controlled by nationals of the host state in which the investment is located. For example, in the largest investment treaty arbitration to date, a company incorporated in the Isle of Man (United Kingdom) that owned shares in the Russian oil company Yukos (2014) successfully brought an arbitration under the ECT against Russia following the nationalization of Yukos, even though the claimant company had no substantial business operations in the Isle of Man and was ultimately controlled by Russian individuals.

These definitional issues relating to the coverage of investment treaties have profound policy relevance for the investment treaty regime. Formally, investment treaties are preferential agreements negotiated between two or more countries. However, the ease with which investors can engage in ‘treaty shopping’—the structuring of an investment to bring it within the coverage of at least one investment treaty—raises questions about whether the regime is preferential in practice. The practice of treaty shopping poses practical challenges for states. States are not necessarily aware of how the ownership of particular investments in their territory is structured and, therefore, will not be in a position to determine, in advance, which investments fall within the coverage of any given investment treaty. On this basis, some scholars and commentators argue that rational host states should assume that obligations contained in any one of their investment treaties are ‘owed to every State and every company’ operating in their territory (Legum 2006, 4). According to this view, the possibility of treaty shopping transforms a web of formally preferential investment treaties into a *de facto* multilateral investment treaty regime (Schill 2009).

Such claims of multilateralization must be carefully qualified. As noted in the preceding text, the definitional terms of investment treaties vary. Some do require investors to have a genuine link with the ‘home’ state, thereby limiting the scope for treaty shopping. The extent to which the existing network of investment treaties functions as a genuinely multilateral regime also depends on how common the practice of treaty shopping is.³⁵ This is an empirical question, on which little research has been conducted. However, evidence of low levels of awareness of investment treaties among foreign investors, which is discussed in Chapter 6, suggests that treaty shopping is not a routine practice

³⁵ Investors may not only or even primarily shop for the most advantageous investment treaty. Tax considerations are likely to be more important in practice. But little empirical research has been done on this question.

among foreign investors.³⁶ Finally, investment treaty tribunals themselves have articulated at least some limits to the practice of ‘abusive’ treaty shopping. In *Philip Morris v. Australia* (2015), the tribunal concluded that Philip Morris transferred its Australian business to a Hong Kong subsidiary for the purpose of bringing an arbitration under the Australia–Hong Kong BIT at a time when a dispute about Australia’s tobacco plain packaging legislation was already foreseeable. The tribunal held that ‘abusive’ restructuring of this sort was impermissible, and dismissed Philip Morris’ claims.

A distinct issue is the *types* of juridical entities that qualify as ‘investors’ under investment treaties. In general, investment treaties do not limit the types of juridical entities that qualify as ‘investors’, either based on the business that an entity is engaged in, or an entity’s ownership and corporate governance arrangements. As such, banks, hedge funds, and private equity firms all fall within the coverage of investment treaties. These financial actors are, themselves, significant foreign investors. From 1990 to 2003, for instance, US banks acquired almost US\$25 billion in FDI (Goldberg 2007), a figure that does not include their much larger holdings of portfolio investment. And private equity funds now account for about one in four of cross-border mergers and acquisitions worldwide (UNCTAD 2015a, 15).

Moreover, investment treaties do not generally require a juridical entity to be owned by private individuals to fall within the coverage of investment treaties (Feldman 2010). As mentioned in the preceding text, SOEs also fall within the treaty definition of covered ‘investors’ under most investment treaties. The investment treaty regime’s coverage of SOEs has significant systemic implications. SOEs own or control roughly US\$2 trillion worth of foreign assets and 15,000 foreign affiliates (UNCTAD 2014). To put these figures in perspective, there are approximately 100,000 MNEs with almost 900,000 foreign affiliates in world economy, and these foreign affiliates held assets worth US\$102 trillion in 2014 (UNCTAD 2014). As a rule, sovereign wealth funds (SWFs) also qualify as ‘investors’ under investment treaties. SWFs currently control over US\$100 billion of foreign investment (UNCTAD 2014). Because the investment treaty regime was originally intended to protect and promote *private* investment, the coverage of these types of ‘sovereign investors’ has attracted considerable attention in recent years (see e.g. Alvarez 2012a; Feldman 2016; Poulsen 2016).

³⁶ At the time of this writing, a very large share of foreign investment stocks is not formally protected by investment treaties, as there is no treaty between the EU and the United States. These two economies are by far the largest sources and destinations of foreign investment (OECD 2015a). To date, there is no evidence that it is common practice for transatlantic investment to be structured to bring it within the protection of other EU or US BITs. On this basis alone, at the time this manuscript went to press, the investment treaty regime cannot be said to be genuinely multilateral.

Conclusion

This chapter has examined the motivations for and effects of foreign investment. It showed that the economics of FDI is complex and, to some extent, contested, and that different types of foreign investments have different drivers and effects. In other contexts, states' investment policies reflect these insights. For example, many countries target investment promotion activities in particular industries, on the assumption that the targeted industries are more likely to generate economic benefits (Harding and Javorcik 2011). In contrast, virtually all investment treaties provide blanket protection to practically all foreign investments, including investments falling outside standard definitions of FDI.

The analysis in this chapter suggests that the economic effects of investment treaties depend not just on *whether* investment treaties affect the volume of foreign investment—something that Chapter 6 reviews—but also on *how* and *why* investment treaties impact *different types* of foreign investment in *different countries*. These are important conclusions to keep in mind, as the next two chapters turn attention to the legal rights granted to foreign investors in the investment treaty regime.